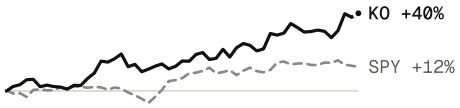
Coca-Cola KO

NYSE · Consumer Defensive · Beverages - Non-Alcoholic · USD · Price date 30.10.26

NO POSITION: NEGATIVE ALPHA | VALUE-TRAP CHECK: WATCH | DDM AND COMPS: EXPENSIVE

12 months, total return, rebased to 100



PRICE	FAIR VALUE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
94.08	67.23	−28.5%	−1.4%	404.7bn	2.2%
USD, close 30.10.26	DDM only	$V_0 / P_0 - 1$	IR −0.10	USD	DO USD 2.10

ENTERPRISE VALUE	FORWARD P/E	EV/EBITDA	52-WEEK RANGE	ANALYST TARGET (N=24)	NEXT EARNINGS
432.8bn	26.7x	24.8x	67.27-95.37	97.75 (+4%)	n/a

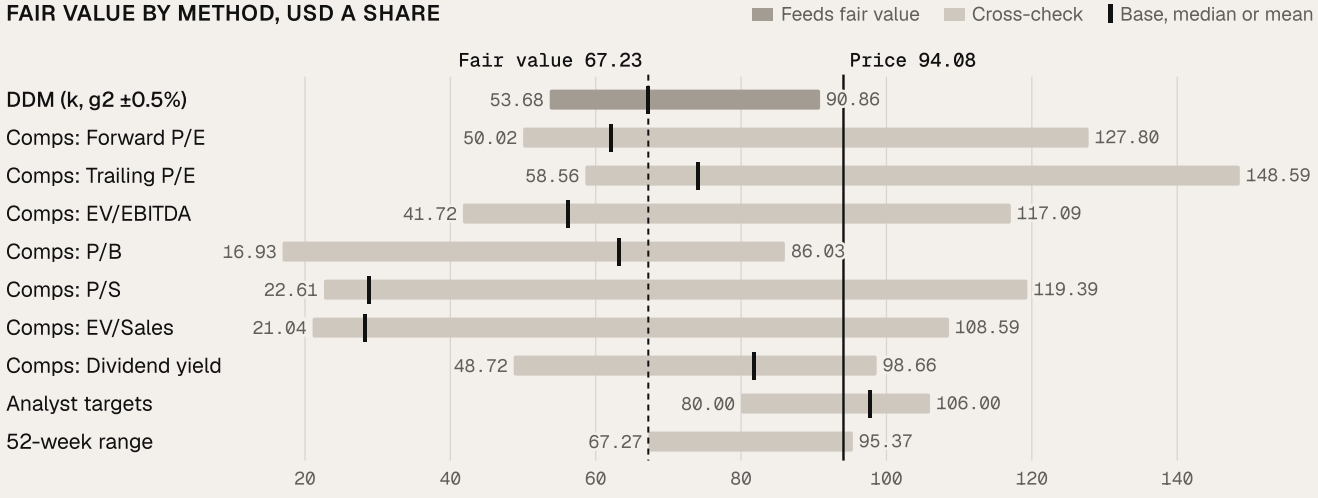
1 · INVESTMENT THESIS

At USD 94.08, with a cost of equity of 6.68%, Coca-Cola is priced for 4.4% dividend growth forever, against about 4% at the last raise [2]. The business is doing well: Q3 volume rose 5%, organic revenue 7%, and guidance went up to at least 11% comparable EPS growth [1]. But the market has paid for this. The stock is close to its 52-week high at 26.7x forward earnings, against 17.6x for peers, while consensus EPS growth slows to 5.6% next year and the bottler sales take about 2% off 2027 EPS [1]. **This is an excellent company at a full price, not a mispricing we can buy.** The two-stage DDM gives USD 67.23 and the comparables USD 59.13, a margin of safety of −29%. Alpha is negative even if the gap never closes, so we would not hold it in a long-only book.

2 · CATALYSTS

EVENT	DATE	WHY BEFORE THE END OF DECEMBER	EXPECTED EFFECT ON THE PRICE
Sale of 75% of Coca-Cola Beverages Africa closes	By 31 Dec (company)	Guidance assumes a Q4 close, subject to approvals [1]; South Africa cleared it in September [3].	Makes the 2027 drag concrete: about 8% off revenue, 2% off EPS [1]. Already guided: a small move.
Eleventh Circuit ruling on the IRS tax case	No date set	Heard on 25 Jun 2026, still pending in the Q3 10-Q [4]. Can come any day, but there is no deadline.	Two-way: a full loss costs up to about USD 22bn, near USD 5 a share; a win returns USD 6.6bn [4].
Fed meeting and the 10-year yield	8-9 Dec (Fed)	Set by the Fed's calendar, with new projections [5].	Can move k through the 10-year yield: half a point is worth USD 8–11 on the DDM. Macro, not stock-specific.

FAIR VALUE BY METHOD, USD A SHARE



3 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

Coca-Cola has raised its dividend for 64 years [2] and returns cash mainly through it: USD 6.8bn of dividends against USD 0.9bn of buybacks in nine months [4]. We use two stages because earnings are growing faster than a global staple can sustain forever: 6.0% for 5 years, near consensus of 5.6%, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone would apply one rate to both phases. A cash-flow DCF would start from FY25 FCF, cut by the one-off fairlife payment [6]. P/B says little, as brands built in-house are not on the balance sheet. The comparables are a second opinion only: few peers have a concentrate model with these margins, so some premium is deserved.

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 94.08	Close 30.10.26, not adjusted
D_0, dividend	USD 2.10	Dividends paid, last 12 months
β on SPY	0.28	Slope on SPY, 60 months
r_f, 10-year yield	4.98%	FRED DGS10, 29.10.26
ERP	6.11%	Bloomberg CRP, Class 5: refresh
$k = r_f + \beta$ ERP	6.68%	CAPM
g_1, first stage	6.0%	Near consensus EPS growth of 5.6%
T, years	5	Years of above-trend growth; ours
g_2, terminal	3.0%	Below the 4–6% sales algorithm [9]; ours
Gordon value	USD 58.78	−38% vs price
Two-stage value	**USD 67.23**	**−29% vs price; 85% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
5.68%	69.69	79.32	92.54	111.82	142.58
6.18%	61.26	68.45	77.89	90.86	109.79
6.68%	54.63	60.18	**67.23**	76.50	89.23
7.18%	49.28	53.68	59.12	66.04	75.14
7.68%	44.88	48.43	52.74	58.09	64.88
Upside	−42%	−36%	−29%	−19%	−5%

Two-stage DDM value, USD. Shaded: at or above the price of 94.08. Dark: base case. Upside at the base k.

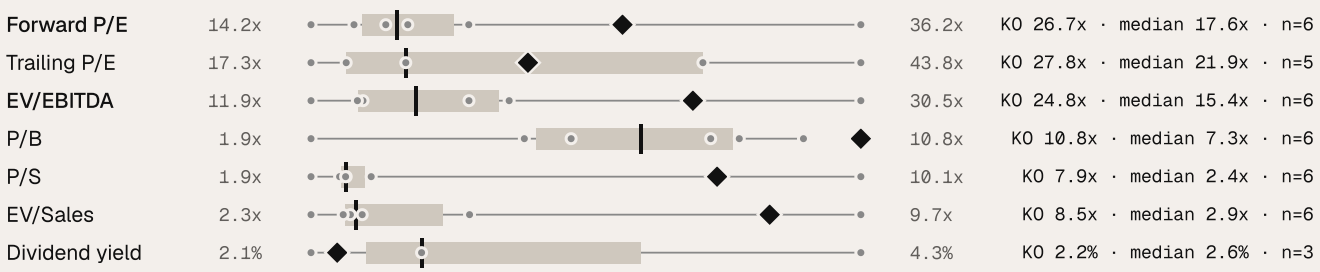
Growth the price implies (reverse Gordon)	4.35%
Sustainable growth, forward ROE × retention	16.44%
Justified P/B vs actual	6.57x vs 10.83x
DDM value at β = 1	USD 30.27

4 · COMPARABLE COMPANIES

COMPANY	CAP, BN	FWD P/E	TRAIL. P/E	EV/EBITDA	P/B	P/S	EV/SALES	DIV. YIELD
PEP PepsiCo	187.2	15.9x	17.3x	11.9x	8.40x	1.91x	2.32x	4.3%
KDP Keurig Dr Pepper	48.8	14.2x	36.2x	18.6x	1.95x	2.43x	4.45x	2.6%
MNST Monster Beverage	92.7	36.2x	43.8x	30.5x	9.90x	10.06x	9.70x	n/m
CCEP Coca-Cola Europacific	49.7	20.5x	21.9x	17.2x	5.40x	2.33x	2.85x	2.1%
CELH Celsius Holdings	7.4	17.2x	n/m	13.7x	6.15x	2.42x	3.01x	n/m
FIZZ National Beverage	3.3	18.1x	19.0x	13.5x	8.87x	2.80x	2.75x	n/m
Peer mean		20.3x	27.6x	17.6x	6.78x	3.66x	4.18x	3.0%
Peer median		17.6x	21.9x	15.4x	7.28x	2.42x	2.93x	2.6%
KO Coca-Cola	**404.7**	**26.7x**	**27.8x**	**24.8x**	**10.83x**	**7.93x**	**8.48x**	**2.2%**
Implied price at peer mean		71.75	93.66	64.67	58.88	43.39	43.10	69.95
Implied price at peer median		62.15	74.10	56.11	63.21	28.75	28.25	81.81

Comps value USD 59.13 (−37%): average of the median implied prices on Forward P/E and EV/EBITDA (shaded). n/m: negative or above 100x, excluded.

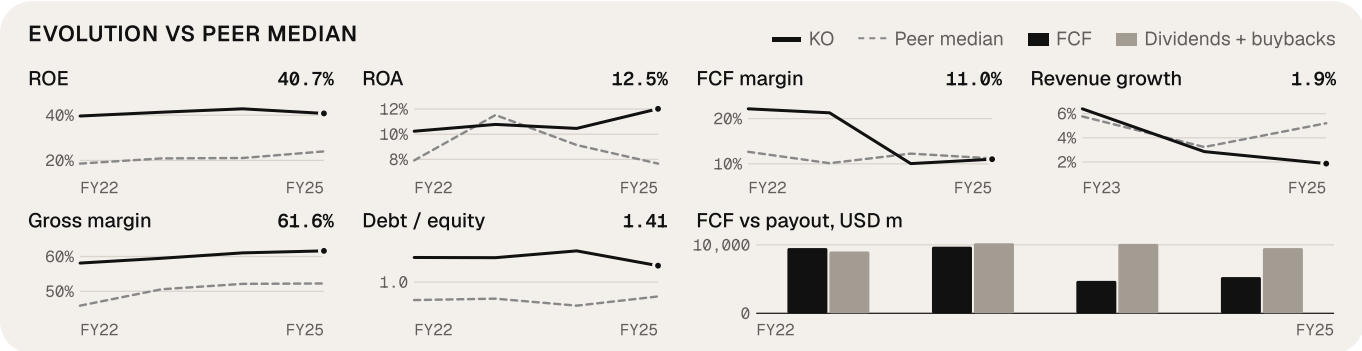
PEER MULTIPLES: BOX PLOTS, EACH ON ITS OWN SCALE



5 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	40.7%	23.9%	41.2%	better	worsening	
Profitability	ROA	12.5%	7.1%	10.6%	better	improving	
Profitability	FCF margin	11.0%	11.2%	17.8%	worse	worsening	**Red flag**
Growth	Revenue growth	1.9%	5.2%	4.6%	worse	worsening	**Red flag**
Growth	Gross margin	61.6%	52.3%	59.6%	better	improving	
Safety	Debt / equity	1.41	0.63	1.68	worse	improving	
Payout	Payout / FCF	1.80	0.55	1.38	worse	worsening	**Red flag**

Earnings test: adjusted EPS 3.00 (FY25) → 3.34 → 3.53 (forward): rising. Trailing GAAP EPS of 3.39 is close to the adjusted figure.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Two flags come from one-offs: the USD 6.0bn IRS deposit in FY24 [4] and the USD 6.1bn fairlife payment in FY25 [6] cut FCF, and FY26 guidance restores it [1]. Organic revenue grew 5% in FY25; currency and divestitures took off 3 points [6]. **The issue is the price, not the business.**

6 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	−30.4%	−2.10
Gap closes in 2 years	$(1 + k)[(V_0/P_0)^{(1/2)} - 1]$	−16.5%	−1.14
Gap closes in 3 years	$(1 + k)[(V_0/P_0)^{(1/3)} - 1]$	−11.3%	−0.78
Gap never closes	α never = $D_1 / P_0 + g - k$	−1.4%	−0.10
Used: never closes	**Goes into Treynor-Black**	**−1.4%**	**−0.10**

β on our SAA, Nov 21–Oct 26	0.93
σ(ε) · σ²(ε), annual	14.5% · 0.0210
α / σ²(ε), weight score	−0.66
Pro rata over the 51 days to 27 Dec	−0.2%
Position	0: negative alpha

Q4 results with annual guidance and the dividend raise came in February this year [2][6], so they should fall after the challenge, and no dated event forces the gap shut by December. We use α never, the least negative case, at −1.4%. It turns positive only if dividends grow above 4.4% forever. Long-only, the weight is 0. IR −0.10 is below the benchmarks of 0.50 for four good bets and 0.64 for Buffett.

7 · SPECIFIC ISSUES

VALUE TRAP

Not a trap: FY25 payout/FCF of 1.80 reflects the USD 6.1bn fairlife payment. Without it FCF was USD 11.4bn [6], and FY26 guidance is at least USD 13.0bn [1].

MANAGEMENT QUALITY

CEO Henrique Braun, since 31 Mar 2026, joined in 1996 [7]. Capital goes to dividends and debt: USD 0.9bn of buybacks in nine months, USD 6.8bn of dividends [4].

UPSIDE POTENTIAL

A g2 of about 4.2% would justify the price, close to the 4.4% it implies. A court win returns USD 6.6bn [4]. Analyst mean target: USD 97.75 (+4%).

SUSTAINABLE GROWTH

Forward ROE 40.6% × 40% retained = 16.4%, far above g2 of 3.0%. But ROE reflects thin book equity (P/B 10.83x), so new capital would not earn it.

ACTIVIST INVESTMENT

No route: a stake is very costly at about USD 400bn of market cap, and Berkshire, with 400m shares [10], has held since 1988 [8]. We found no activist filing.

RISKS: WHAT WOULD PROVE US WRONG

We are wrong if Q3's volume growth lasts and dividends compound above 4.4%, or if long yields fall. Low beta already helps: at beta 1 the DDM is USD 30.27.

Model flags: *Negative alpha: weight 0 (long-only).*

[1] Coca-Cola, Q3 2026 results, 27 Oct 2026. [2] Coca-Cola, 64th dividend increase, 19 Feb 2026. [3] Just Drinks, Tribunal clears bottling deal, 15 Sep 2026. [4] Coca-Cola, Form 10-Q, Q3 2026. [5] Federal Reserve, FOMC calendar. [6] Coca-Cola, Q4 2025 results, 10 Feb 2026. [7] Coca-Cola, CEO succession, 10 Dec 2025. [8] Motley Fool, Berkshire's holdings, 27 Feb 2026. [9] Q3 2026 earnings call transcript (Singju Post). [10] Motley Fool, Berkshire's portfolio, 5 Jan 2026. Market data: Yahoo Finance and FRED, downloaded 01.11.26.